

Aggregate Demand Shocks with Fixed Inflation

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Comparative statics

Effect of a permanent, unexpected shock

shock

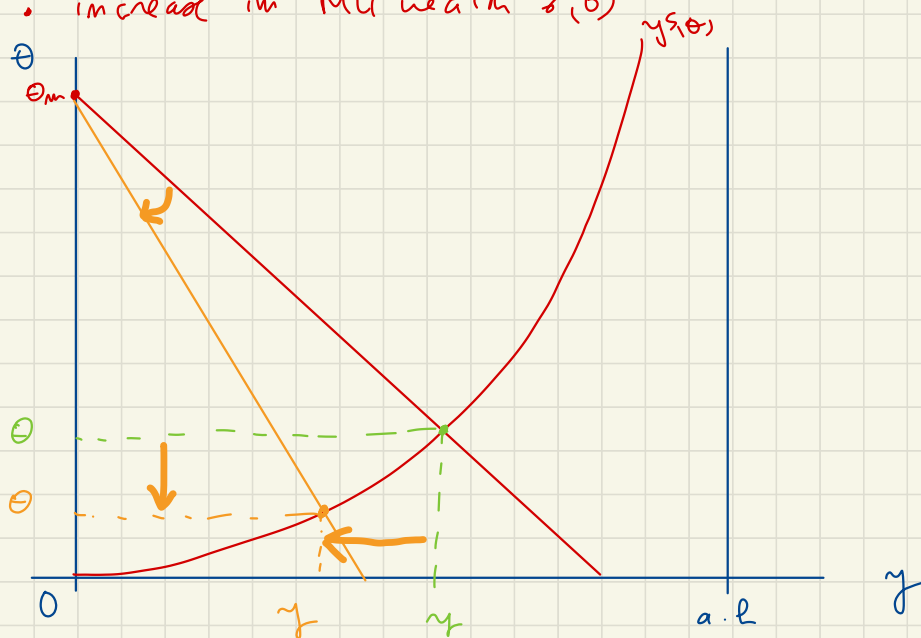
Negative AD shock

$$y^d(\theta) = \left[\frac{\delta - r}{\sigma'(\theta)} \right]^{\frac{1}{\epsilon}} \frac{1}{[1 + \pi(\theta)]^{\epsilon-1}}$$

discount rate

MU wealth

- decrease in discount rate δ
- increase in MU wealth $\sigma'(\theta)$



Negative AD shock:

$\delta \downarrow$ or $\sigma'(\theta) \uparrow$

tightness $\equiv \theta \downarrow$

output $\equiv y \downarrow$

employment $\equiv l = y/a$ so $l \downarrow$

unemployment rate $\equiv u = \frac{\lambda}{\lambda + f(\theta)}$ so $u \uparrow$

$\sigma'(0) \uparrow$ then $\sigma \downarrow$

$\Rightarrow$ Keynesian paradox of thrift

Everybody wants to save more to climb social ladder, but relative position is fixed b/c everyone behaves the same, so people end up spending less & save the same as their neighbors